Nexus Global Enterprises, Inc. (Ticker: NXGE)

Q3 2026 Financial Results & Strategic Overview | For the Quarter Ended September 30, 2026

1. Executive Management Summary

Nexus Global Enterprises delivered robust financial performance in the third quarter of 2026, driven by an accelerated shift towards high-margin recurring revenue models and disciplined cost optimization across all operational segments. Total consolidated revenue grew 18.5% year-over-year to $4.2 billion. Non-GAAP operating margin expanded by 240 basis points to 22.1%, reflecting strong operating leverage as the company scaled its enterprise cloud offerings.

2. Consolidated Statement of Operations

(In millions, except per share data and percentages; Unaudited)

Description	Q3 2026	Q3 2025	Y/Y % Change
Revenue: Product	$ 1,850.4	$ 1,920.1	(3.6%)
Revenue: Services & Subscriptions	2,350.6	1,624.5	44.7%
Total Net Revenue	**$ 4,201.0**	**$ 3,544.6**	**18.5%**
Cost of Revenue	1,480.2	1,390.5	6.4%
Gross Profit	**2,720.8**	**2,154.1**	**26.3%**
Research and Development	650.0	520.4	24.9%
Sales and Marketing	820.5	750.1	9.4%
General and Administrative	322.0	305.2	5.5%
Total Operating Expenses	**1,792.5**	**1,575.7**	**13.8%**
Operating Income	**$ 928.3**	**$ 578.4**	**60.5%**
Net Income	$ 785.1	$ 465.8	68.5%
Diluted Earnings Per Share (EPS)	$ 1.42	$ 0.85	67.1%

3. Segment Performance Analysis

The 44.7% growth in the Services & Subscriptions segment was primarily fueled by the successful enterprise rollout of the 'NexusCloud AI' platform, which saw a 112% increase in net new customer acquisitions. Conversely, Product revenues experienced a slight contraction as the company strategically phases out legacy on-premise hardware lines in favor of integrated edge-compute nodes. Recurring revenue now constitutes 55.9% of total net revenue, up from 45.8% in the prior year quarter.

4. Consolidated Balance Sheet Extract

(In millions; Unaudited)

Assets & Liabilities	Sep 30, 2026	Dec 31, 2025
Cash and Cash Equivalents	$ 4,102.5	$ 3,250.8
Accounts Receivable, net	1,824.1	1,610.2
Inventory	415.0	512.6
Total Current Assets	**8,450.9**	**7,105.4**
Property, Plant, and Equipment, net	2,850.3	2,740.1
Goodwill and Intangible Assets	10,804.4	10,004.6
Total Assets	**$ 22,105.6**	**$ 19,850.1**
Total Current Liabilities	$ 3,120.4	$ 2,850.6
Long-term Debt	4,500.0	5,200.0
Total Liabilities and Equity	**$ 22,105.6**	**$ 19,850.1**

5. Forward-Looking Statements & Risk Factors

This document contains forward-looking statements that involve risks and uncertainties, including statements regarding our expected financial performance, product transitions, and market trends. Actual results may differ materially due to various factors, including global macroeconomic conditions, supply chain constraints, shifts in enterprise IT spending, and foreign exchange volatility. Management expects Q4 2026 revenues to be in the range of $4.35B to $4.45B. This information is provided for illustrative and testing purposes only and does not constitute actual financial advice or real corporate data.